



Remodeling Contracts & Payments Guide

Understand scope, allowances, payment milestones, changes and closeout documentation.

HOMEOWNER RESOURCE

Use this resource to organize decisions and prepare for productive conversations with your contractor, designer and local building department.

A Complete Contract Should Clarify

- Parties and project address
- Detailed scope and exclusions
- Contract price and allowances
- Payment schedule
- Start and completion expectations
- Change-order process
- Permit responsibility
- Cleanup, warranty and dispute provisions

Payment Milestones

Payments should be understandable and connected to the agreement and applicable law. Ask what work or materials each payment represents, what documentation will be provided and how disputed or incomplete work is handled.

Allowances

An allowance is a placeholder for a product or scope not fully selected. Confirm whether it covers material only or material plus labor, taxes, delivery and installation. Selections above or below the allowance should be documented.

Change Orders

A change order should define the revised scope, price difference and schedule difference before work proceeds. Verbal approval can create confusion, so maintain a written record.

Project Notes

Educational resource only. Costs, schedules, permit requirements and construction methods vary by property, scope and jurisdiction. Confirm project-specific requirements with qualified professionals and the applicable authority.